



MECHANICS OF

FINTECH

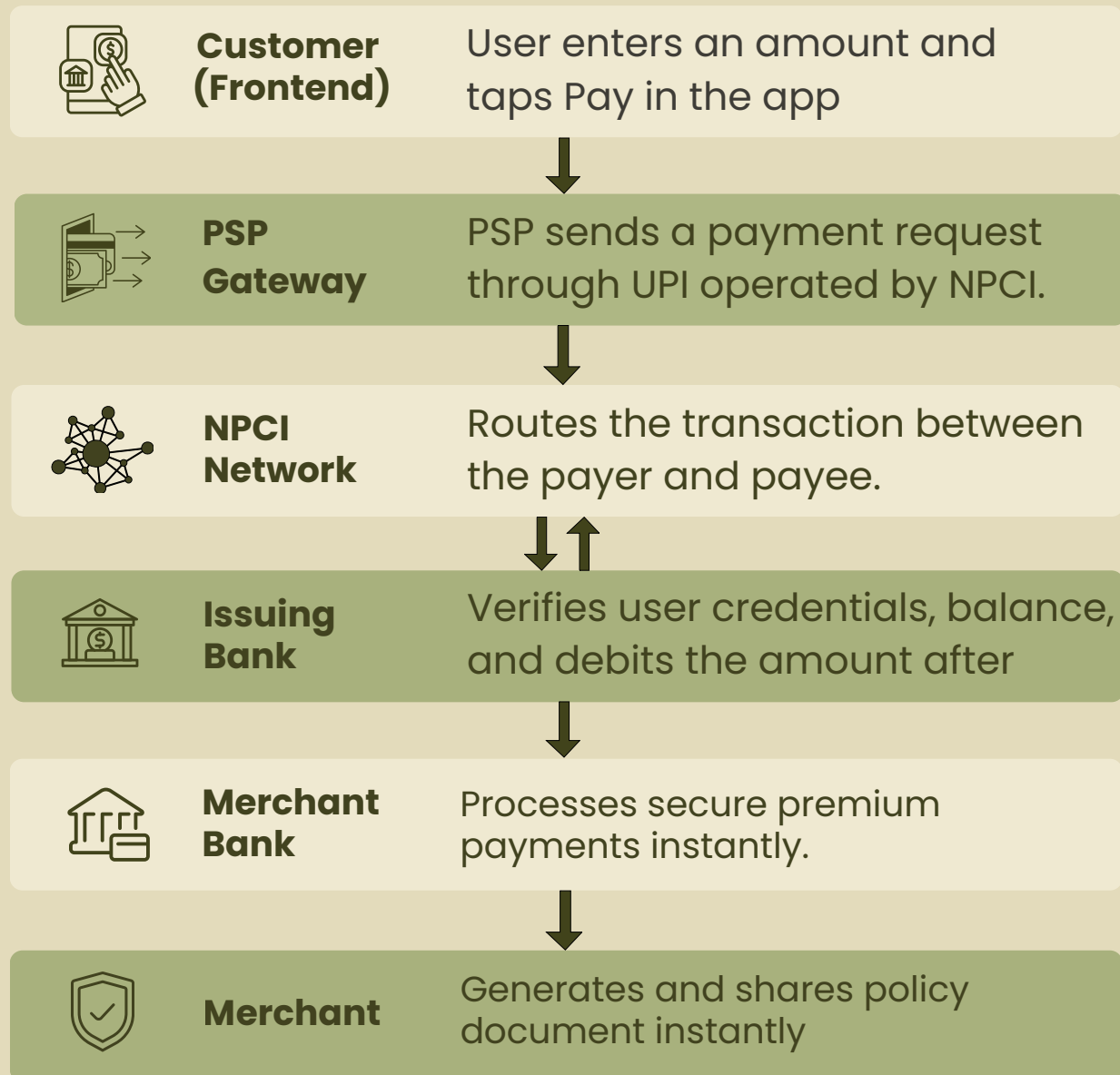
Decoding the Code Behind Capital



Payment Service Providers (PSPs) are fintech intermediaries that connect users, banks, and the UPI network, allowing secure real-time bank-to-bank transactions through mobile apps.

- ➔ **Seamless Transactions**
- ➔ **Enhanced Security**
- ➔ **Faster Payments**

Digital Payment Journey



Core Functions

- PSPs don't hold deposits or lend money.
- Act as an interface through which users access their bank A/c via UPI.
- Funds remain in user's bank a/c, PSPs only help transfer funds.
- Simple UI, QR payments, instant transfers make PSPs popular.

The Three Layers of PayTech

UPI Apps

- Initiate and manage payments
- Connect users to bank accounts
- Enable QR, P2P, and merchant payments



Payment Networks

- Route and authenticate transactions
- Enable transfer
- Ensure secure interoperability between banks



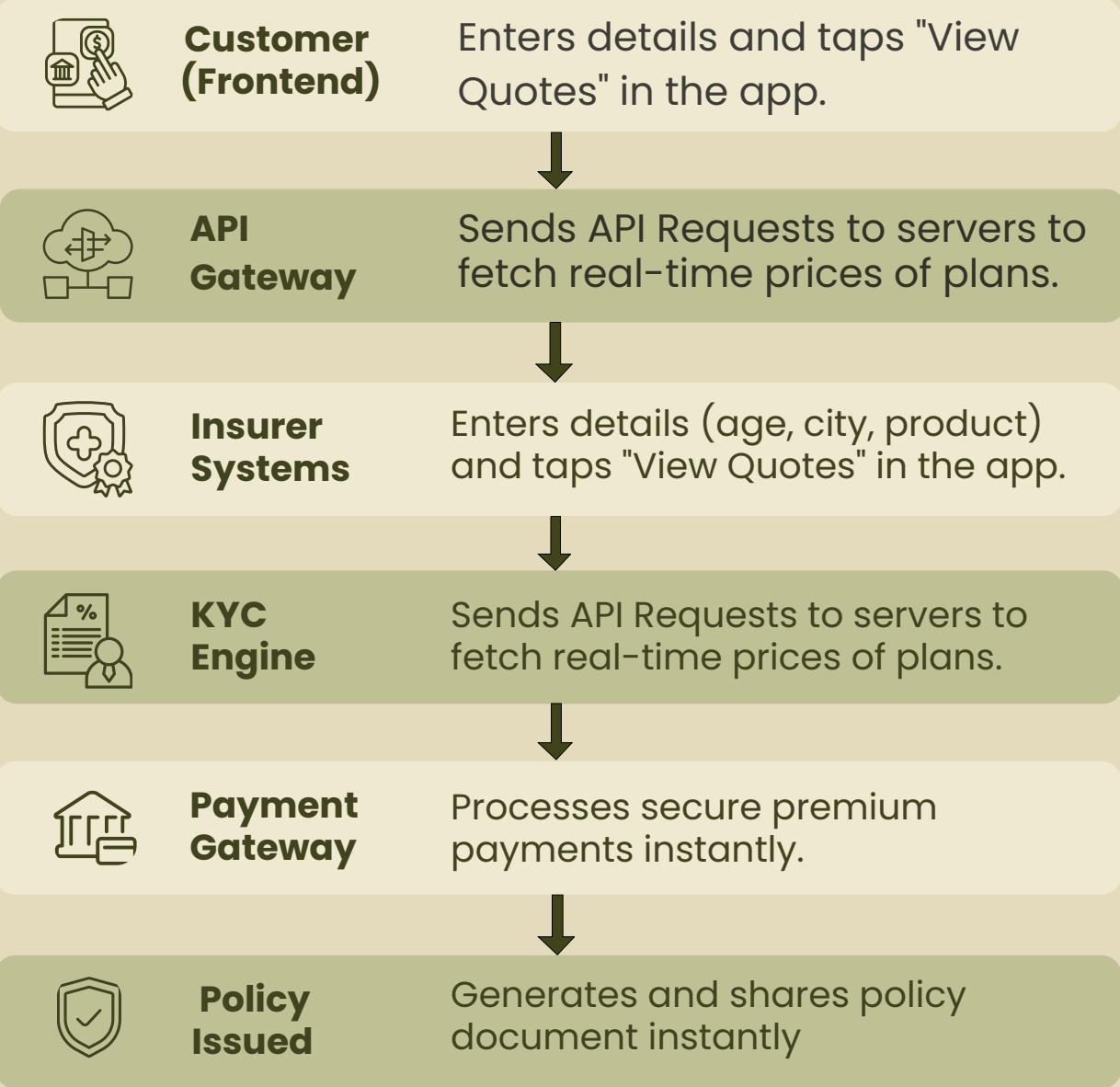
Card Networks

- Enable card-based payments globally
- Facilitate authorization and settlement
- Support credit, debit, and prepaid cards



InsurTech (Insurance Technology) refers to digital platforms that use data, and APIs to simplify insurance discovery, pricing, purchasing, and claims processing.

Policy Issuance Journey



The Three Layers of InsurTech

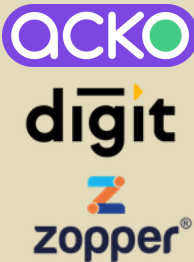
Aggregator Platforms

- Act as insurance marketplaces.
- Use APIs to connect multiple insurers
- Allow instant policy comparison and purchase



Full-Stack Insurers

- Licensed insurers who sell their own policies
- Use data models and automation for pricing and risk analysis.

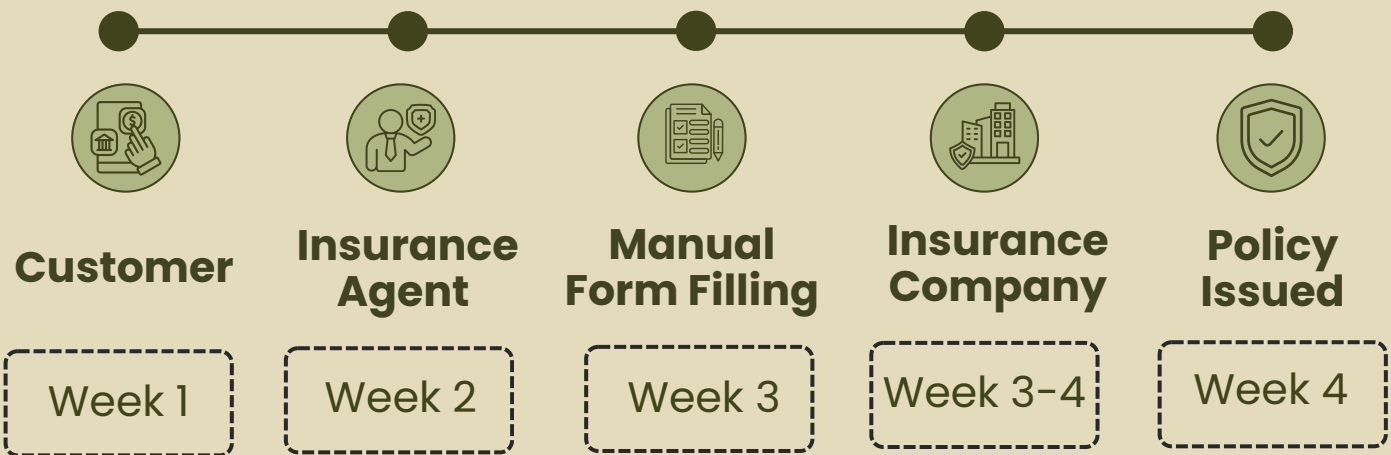


Embedded Insurance

- Embedded insurance in digital journeys
- Travel cover at flight booking
- Device protection at checkout



Traditional Insurance Model

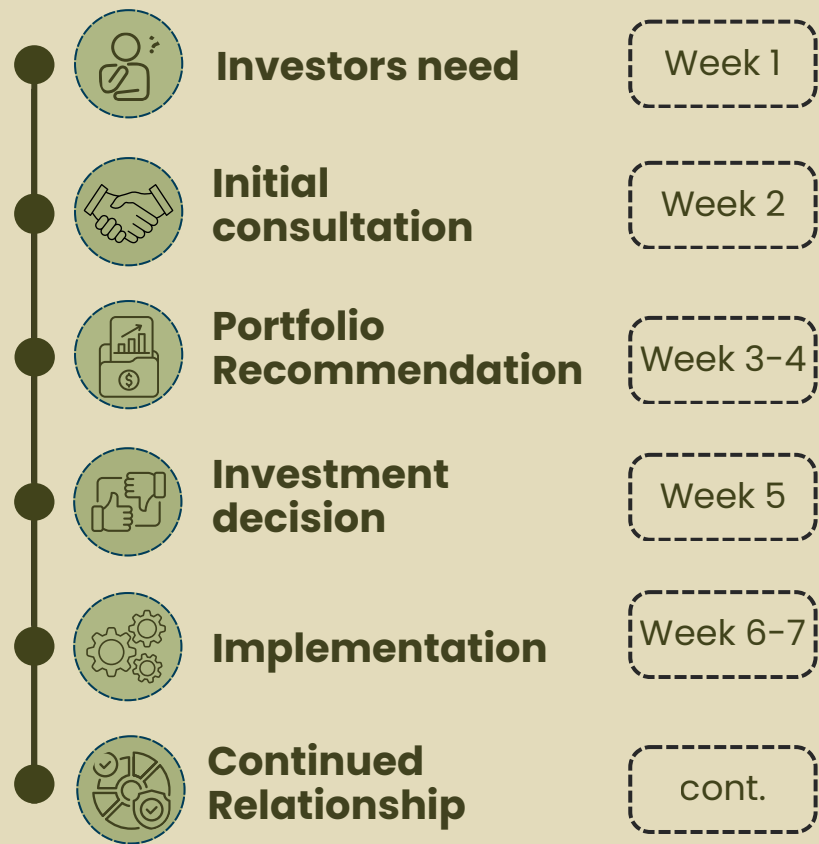


Before

- Inefficient
- Erroneous
- Non transparent
- Intermediary reliance
- Fragmented

Wealth Management

The Traditional Model

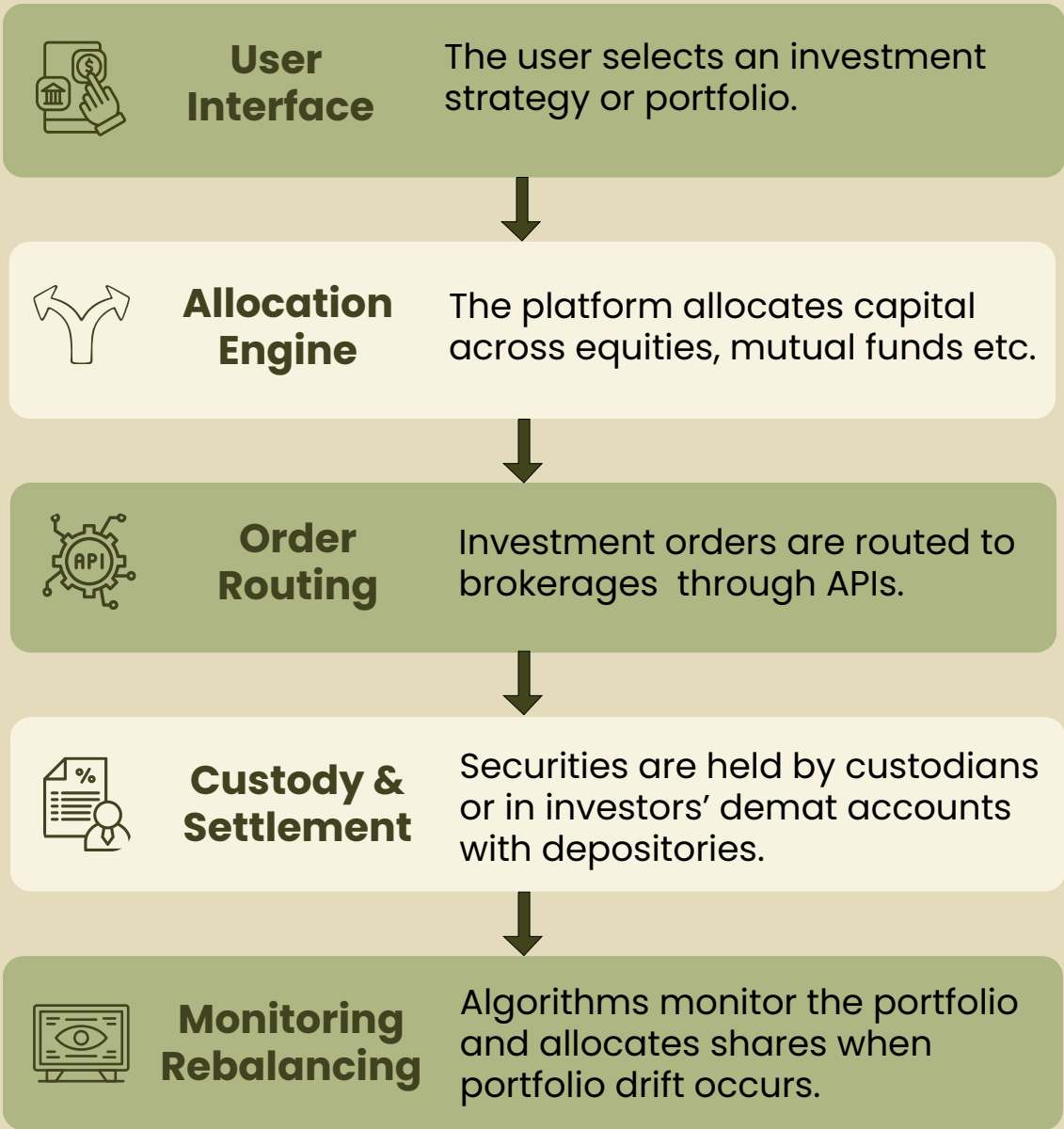


- Manual advisory processes
- Limited transparency
- High minimum investment
- Complex onboarding

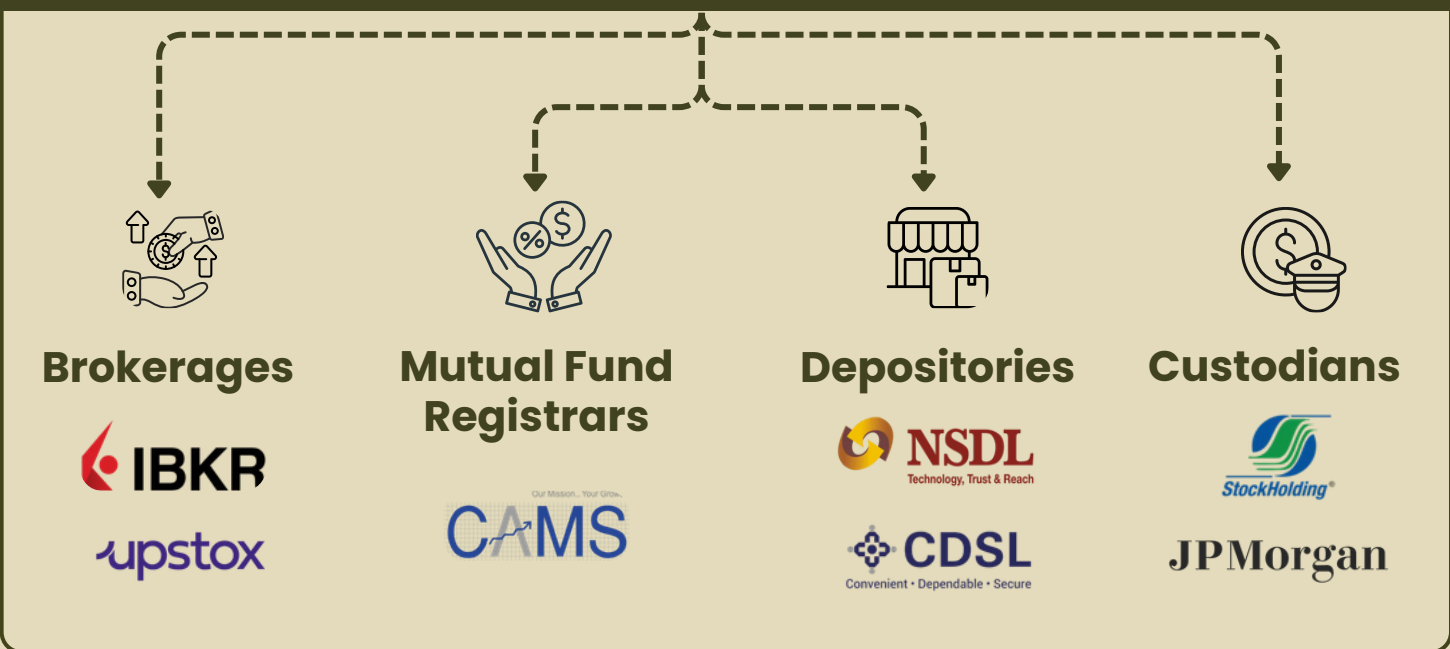
As a result, professional portfolio management remained accessible primarily to HNIs.

WealthTech platforms transform this model into a digital portfolio management system powered by technology and data.

Investing in a Wealth Tech App



Digital Infrastructure



The Two Major Wealth Tech Models

Digital Advisory Platform

- Curated investment portfolios
- Automated portfolio rebalancing
- Long term asset allocation strategies
- Performance monitoring and risk analytics



Self Directed Investment Platform

- Market data and analytics tools
- Access to equities, mutual funds, and ETFs
- Portfolio tracking and insights
- Trade execution infrastructure via brokers

Traditional Model



Before

- Slow onboarding
- Outdated interfaces
- Limited insights
- Fragmented services
- Poor mobile banking

Neobanks connect legacy banking infrastructure with modern, intuitive user experiences.

B.A.A.S Infrastructure



Partner Banks

Banks provide the underlying savings accounts.



Payment Network

UPI systems, card networks, and settlement rails.



KYC Systems

Digital onboarding systems verify user identity



Card Networks

Debit cards are issued through global card networks

How Neo Banks Work



User Interface

The user signs up through the fintech application.



Digital KYC

The platform completes digital KYC verification.



API Middleware

Fintech layer processes and routes data.



Partner Bank

The platform connects to the bank's systems through secure APIs.



User Interface

User uses app UI for everything including cards, loans and UPI



Data Analytics

Hyper-personalized financial insights and nudges.

Neo Bank model in India

Consumer-focused

- High-yield savings pots
- Automated expense tracking
- Zero-forex markup cards
- Gamified financial rewards

Niyo **Jupiter**
slice **Fi**

SME & startup

- Integrated payroll
- Automated GST filing
- Bulk vendor payments
- Corporate expense cards

Razorpay **open**
Brex **tide**

Niche & underserved

- Blue-collar credit access
- Teen financial literacy
- Rural dairy-tech payments
- Cross-border NRI banking

Kosh **Zolve**
mahila money



THANK YOU!

This was the user side journey – how people interact with, navigate, and rely on FinTech.

Up-next, we shift focus on the broader FinTech industry – structure, segments, value and much more!